Meridian Solar Financial Performance Analysis

Rogue Lafayette

Multi-project margin analysis for staffing industry workforce financial management

Business Problem

Large staffing firms operate on thinner margins where 1-point compressions represent significant P&L impact. This analysis addresses how to surface margin performance across a multi-project portfolio when strategic pricing decisions create variance from industry benchmarks. With this visibility, executives can distinguish between operational underperformance and deliberate business trade-offs to focus on areas where margins can be efficiently maximized.

Approach

- Analyzed 1.08M labor hours across 5 active projects over a 30-month reporting window
- Applied dual scoping methodology — financial metrics tie to P&L, operational metrics isolate labor activity
- Calibrated health-indicator thresholds in accordance with portfolio-specific pricing margin structure (1.43x Regular / 1.41x OT)
- Anonymized all identifying information while preserving analytical relationships across dataset

Key Findings

1. Elevated Overtime Concentration

OT concentration at 15% sits above the 10% industry benchmark. Primary drivers: Coyote Flats California overtime laws (daily OT after 8 hours, weekly OT after 40, double-time after 12) and Sage Valley's aggressive ramp-up phase creating temporary workforce demand spikes.

2. Strategic Margin Compression

Portfolio gross margin at 22.24% reflects strategic pricing decisions on the Meridian Solar flagship relationship — the highest revenue generator across all portfolios in the business. Represents a deliberate business trade-off between revenue concentration and margin performance rather than an operational issue.

3. Crew Lead Outperformance Opportunity

Crew Lead craft margin at 29% outperforms the portfolio 22-24% average by 7 percentage points despite limited per-site positions. Signals potential opportunity to specialize in Crew Lead staffing across the other portfolios to maximize margin capture where operationally feasible.

4. Travel OT Impact Contained

Travel OT is billed below cost as a strategic client accommodation to allow higher skilled laborers in markets and locations where they wouldn’t typically exist. Total portfolio margin impact of $4,868 (0.04% of total margin) is minimal at current volumes, but calculation is instrumented for visibility if Travel OT concentration increases materially.

5. OT Markup Sacrifice Quantified
The reduced OT markup structure (1.41x vs. 1.43x standard) results in approximately $151K in aggregate margin sacrifice annually, concentrated primarily on Pine Star ($82K). Provides quantitative basis for future pricing discussions.

Skills Demonstrated

- **Technical:** Excel (SUMPRODUCT with conditional logic, SUMIFS with multi-dimension filtering, conditional formatting with weighted thresholds, data anonymization)
- **Analytical:** Financial modeling, KPI design, weighted-average calculations, portfolio benchmark calibration, data quality methodology
- **Business:** Staffing industry knowledge, workforce financial performance, margin management, cost decomposition

Deliverables

Repository: https://github.com/roguelafayette/Meridian-Solar-Financial-Analytics/

Methodology: https://github.com/roguelafayette/Meridian-Solar-Financial-Analytics/blob/main/docs/Meridian_Solar_Financial_Methodology.docx